BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

COMPANY PETITION CP (CAA) NO.06/ALD/2023
Connected with
COMPANY APPLICATION CA (CAA) NO.04/ALD/2023
(Under Sections 230-232 of the Companies Act, 2013)

In the matter of Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

ACE LANDCRAFT REALTORS PRIVATE LIMITED

Having its Registered Office at:
C 137, Surya Nagar,
Ghaziabad, UP-201011 IN
...TRANSFEROR COMPANY NO.1/PETITIONER COMPANY NO.1

ACE RESIDENCY PRIVATE LIMITED

Having its Registered Office at:
7th Floor, Plot No.-01B,
Sector-126, Noida
Gautam Buddha Nagar, UP-201303 IN
...TRANSFEROR COMPANY NO.2/PETITIONER COMPANY NO.2

MEGA TOWN PLANNERS PRIVATE LIMITED

Having its Registered Office:
7th Floor, Plot No.-01B,
Sector-126, Noida,
Gautam Buddha Nagar, UP-201303 IN
...TRANSFEROR COMPANY NO.3/PETITIONER COMPANY NO.3

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STAR LANDCRAFT PRIVATE LIMITED

Having its Registered Office:
7th Floor, Plot No.-01B Sector-126, Noida,
Gautam Buddha Nagar, UP-201303 IN
...TRANSFEREE COMPANY NO.4/PETITIONER COMPANY NO.4

ORDER PRONOUNCED ON: 01.09.2023

CORAM:

Shri Praveen Gupta: Member (Judicial)

Shri Ashish Verma: Member (Technical)

COUNSEL APPEARED PHYSICALLY:

Mr. Krishna Dev Vyas, Advocate : For the Petitioner(s)

Sh. Ajeet Kumar Singh, AOL : For the OL

ORDER

1. The Present joint Company Petition is filed by Petitioner Companies above named under Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for sanction of the Scheme of Amalgamation (hereinafter referred to as the 'Scheme') for Amalgamation of Ace Landcraft Realtors Private Limited (Transferor Company No.1/Petitioner Company No.1) and Ace Residency Private Limited (Transferor Company No.2/Petitioner Company No.2) and

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Mega Town Planners Private Limited (Transferor Company No.3/Petitioner Company No.3) with Star Landcraft Private Limited (Transferee Company/Petitioner Company No.4).

2. The Petition has now come up for final hearing. The Ld. Counsel for the Applicants submits as follows :-

i. The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Transferor Companies and the Petitioner Transferee Company in their respective Board meetings held on 12.12.2022.

ii. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of the Petitioner Companies as on 31st March, 2022 is described in the present Company Petition.

iii. The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under.

2.1 The Transferor Company and the Transferee Company are closely held private limited Group

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Companies under common management and control. All the Companies are engaged in similar business activities. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of all these Companies and pooling of their resources into a single entity.

a) The amalgamation will enable the Transferee Company to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

b) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company;

c) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

d) The business of the Transferor Companies can be conveniently and advantageously combined together and in general with the business of the Transferee Company

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concerned and will be carried on more economically and profitably under the said Scheme;

e) The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Company for raising capital, securing and conducting trade on favorable terms and other benefits;

f) The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

g) The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

h) The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

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i) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

j) The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned. Further the amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.

3. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

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5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona-fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable

6. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Petitioner Companies. Further it is also submitted that no winding up application has been filed against any of the Petitioner Companies and there are no liquidation proceedings against any of the Petitioner Companies and none of the Petitioner Companies are facing any CIRP process nor any of Petitioner Companies have been struck off from Registrar of Companies.

7. It is submitted by the Ld. Counsel during the course of hearing that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation

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to / approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

8. A perusal of the present Petition discloses that initially the Petitioner Companies had filed Company Application CA (CAA) No.04/ALD/2022 seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity and Preference Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Transferor Company No.1, Petitioner Transferor Company No.2; Petitioner Transferor Company No.3 and the Petitioner Transferee Company. Accordingly, this Hon'ble Tribunal vide its Order dated 19th May, 2023, dispensed with the requirement of convening meetings of Equity and Preference Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Transferor Company No.1, Petitioner Transferor Company No.2 , Petitioner Transferor Company No.3 and the Petitioner Transferee Company.

9. This Hon'ble Tribunal vide its Order dated 7th June, 2023 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to

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make paper publication in respect thereof in English Newspaper 'Business Standard' and Hindi Newspaper 'Business Standard' having circulation where registered office of the Petitioner Companies are situated.

10. In compliance thereof, the Petitioner Companies on 4th August, 2023 have filed Affidavit of service and publication, confirming that notices have been duly published in English Newspaper "Business Standard" and Hindi Newspaper "Business Standard", and served upon (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) the Official Liquidator, Allahabad; (d) the Income-Tax Departments having jurisdiction over the Petitioner Companies (Nodal Officer as appointed by CBDT vide its order dated 17.03.2023) by mentioning the PAN of the Company; and (v) the office of RERA Authorities pertaining to place where the registered office of the Petitioner Companies are located.

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11. Pursuant to the said advertisements and notices, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi received a Report from the Registrar of Companies, Uttar Pradesh, Kanpur and filed its representation on 10th August, 2023 through an affidavit whereof the Regional Director in his report stated that the Petitioner Companies have filed the Balance Sheets and Annual returns upto 31.03.22 and no prosecution has been filed and no inspection or investigation has been conducted in respect of the petitioner company.

12. The Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also filed its report on 16.08.23 through a representation/ affidavit and at Paragraph 22 had mentioned that the Official Liquidator has no objection to the dissolution of the Transferor Companies without winding up pursuant to the provisions of Sec 230-232 of the Companies Act, 2013 and other applicable sections and rules there under.

13. The Income-Tax Department vide its letter dated 14.08.23 issued from the office Dy. CIT, Central Circle-I, Noida has also

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filed its representation and has submitted no objection in the present scheme of amalgamation between the petitioner companies.

14. The RERA authority has not filed any representation within 30 days of service of the notice of the Petition. With respect to three transferor companies, there are no on-going real estate projects and the only project which is continuing, is in the transferee company, and it is contended by the Ld. Counsel representing the petitioners that Transferee Company in any case is going to exist after amalgamation. Further, pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it is presumed that the RERA authority has no objection on the Scheme of Amalgamation of the Petitioner Companies.

15. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh and the Income-Tax Department and after

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perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is neither against public policy, nor it would be prejudicial to the public interest at large.

16. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

17. As a result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date i.e. 1st day of April, 2022. The Petitioner Companies are required to act upon as per the terms and conditions of the sanctioned Scheme of Amalgamation.

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18. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law. Also, the Petitioner Transferor Company No.1, Petitioner Transferor Company No.2 and Petitioner Transferor Company No.3 shall stand dissolved without undergoing the process of winding up.

19. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttar Pradesh for registration and on such certified copy being so delivered to the ROC, the Petitioner Company No.1,2 and 3/Transferor Companies shall stand dissolved without undergoing the process of winding up and the Registrar of Companies, Uttar Pradesh shall place all documents relating to the Petitioner Company No.1,2 and 3/Transferor Companies with him on the file kept by him in relation to the Petitioner Company

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No.4/Transferee Company and the file relating to the said Petitioner Company No.1,2 and 3/Transferor Companies shall be consolidated accordingly.

20. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

21. That the Resulting Company shall deposit an amount of Rs.25,000/- (Rupees Twenty Five Thousand Only) in favour of "The Ministry of Corporate Affairs" within a period of four weeks from the date of receipt of the certified copy of this order and file affidavit of compliance thereof.

22. Leave is granted to the Petitioners to file the Schedule of Assets.

23. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

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24. Accordingly, the present Company Petition bearing CP (CAA) No.06/ALD/2023 is allowed and stands disposed of.

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(Ashish Verma)
Member (Technical)

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(Praveen Gupta)
Member (Judicial)

Aditi Kharbanda
(LRA)